

ONslow BAY FINANCIAL

An Annaly Company



Onslow Bay Financial LLC

Closed End Second Lien Program Underwriting Guidelines

April 28th, 2025

Version 2.2

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1 GENERAL POLICY

1.1 LOAN PURCHASE ELIGIBILITY POLICY

Onslow Bay Financial LLC's ("Onslow Bay") Seller Program Underwriting Guidelines establish the criteria under which a residential mortgage loan will be eligible for purchase by Onslow Bay. Onslow Bay is a secondary market purchaser of residential whole loans and does not directly originate or extend or deny credit to Borrowers. Onslow Bay does not require originators or clients to make any loan simply because it is eligible for purchase by Onslow Bay, nor does Onslow Bay prohibit originators or clients from originating a loan that is ineligible for purchase by Onslow Bay. Clients should rely on their own underwriting guidelines and any additional industry information they need to determine whether to extend credit to any applicant.

Onslow Bay will evaluate many aspects of the loan to make a purchase determination, but primarily relies on evaluation of the Borrower's ability and willingness to repay the loan to predict loan performance. Additional characteristics of the loan will also be examined including credit history, asset position and the property being used for collateral.

Onslow Bay has a zero-tolerance policy as it relates to fraud. All clients should follow their own established fraud and identity procedures on every loan to prevent and detect fraud (including, but not limited to, Social Security number verification, verbal verifications of employment, processing of 4506-C, etc.). Loans containing fraudulent documentation or information will immediately be rejected for purchase and forwarded for further review. If there is any determination of client involvement, the client will be made inactive, and the appropriate agencies notified. It is the originator's responsibility to ensure that all loans it originates comply with all federal, state, and local laws applicable to the origination and sale of mortgage loans.

1.2 FAIR LENDING STATEMENT

Onslow Bay Financial LLC operates in accordance with the provisions of the Fair Housing Act and Equal Credit Opportunity Act. The Fair Housing Act makes it unlawful to discriminate in housing-related activities against any person because of race, color, religion, national origin, sex, handicap, or familial status. The Equal Credit Opportunity Act prohibits discrimination with respect to any aspect of a credit transaction on the basis of sex, race, color, religion, national origin, marital status, age (provided the borrower has the capacity to enter into a binding contract), receipt of public assistance, or because the borrower has in good faith exercised any right under the Consumer Credit Protection Act. Onslow Bay Financial LLC fully supports the letter and spirit of both of these laws and will not condone discrimination in any mortgage transaction.

1.3 RESPONSIBLE LENDING STATEMENT

The primary focus of this lending program is the borrower's ability to repay the mortgage obligation. Mortgage Loans acquired or funded by Onslow Bay Financial LLC should be affordable to the borrower in his or her pursuit of homeownership.

Under the general Ability to Repay (ATR) standard, at or before consummation of the related Mortgage Loan, lenders must make reasonable, good-faith determination that the consumer has a reasonable ability to repay the Mortgage Loan. Lenders must verify information using reasonably reliable third-party records that provide evidence of income or assets.

If a Mortgage Loan is subject to the ATR rules under the Federal Truth In Lending Act ("TILA"), lenders must consider eight underwriting factors to be compliant:

1. Current or reasonably expected income or assets (other than the value of the property that secures the loan) that the consumer will rely on to repay the loan.
2. Current employment status (if you rely on employment income when assessing the consumer's ability to repay).
3. Monthly mortgage payment for this loan. You calculate this using the introductory or fully indexed rate whichever is higher, and monthly, fully amortizing payments that are substantially equal.
4. Monthly payment on any simultaneous loan secured by the same property.

5. Monthly payments for property taxes and insurance that you require the consumer to buy, and certain other costs related to the property such as homeowner's association fees or ground rent.
6. Debts, alimony, and child support obligations.
7. Monthly debt-to-income ratio or residual income, that you calculated using the total of all of the mortgage and non-mortgage obligations listed above, as a ratio of gross monthly income.
8. Credit history.

Onslow Bay Financial LLC will not fund or purchase a loan subject to the ATR requirement under TILA unless it meets the requirements of the rule. Certain loans may be exempt from TILA or otherwise exempt from the ATR rule. In those cases, though Onslow Bay Financial LLC may choose to purchase a loan that does not adhere to the formal requirements of the ATR rule, Onslow Bay Financial LLC will only fund or purchase loans that the applicant appears able to afford based on application of prudent underwriting standards.

Onslow Bay's Close End Second Lien Program must be ATR compliant and must adhere to the standards set forth in the CFPB's Reg Z, Section 1026.43(c).

2 ONSLOW BAY PROGRAM OVERVIEW | Summary and Features

2.1 FANNIE MAE SELLER GUIDE, FREDDIE MAC SELLER GUIDE

- The Onslow Bay Closed End Second Lien Program is intended to reference and supplement Fannie Mae's Seller Guide or Freddie Mac's Seller Guide
- Loans must be underwritten entirely to either Fannie Mae Guides or Freddie Mac Guides; commingling of guidelines for qualification is not permitted
- Originators should refer to the Fannie Mae or Freddie Mac Seller Guide for specific information concerning qualification requirements that are not specifically referenced herein
- To the extent there is a difference in standards between the Onslow Bay Overlays and the Fannie Mae Guides/Freddie Mac guides; Originators may rely on the Onslow Bay Overlays

3 PRODUCT TYPES & ELIGIBILITY

Product	Qualifying Rate	Term	Amort. Term
10 Year Fixed	Note Rate	120	120
15 Year Fixed	Note Rate	180	180
20 Year Fixed	Note Rate	240	240
30 Year Fixed	Note Rate	360	360

3.1 TITLE POLICY

- For loan amounts >=\$250,000: ALTA Standard Coverage Policy insuring the second lien amount
- For loan amounts <\$250,000: Onslow Bay will accept an Owner's & Encumbrance Report verifying and validating the senior lien or an ALTA Standard Coverage Policy or an ALTA Residential Limited Coverage Junior Loan Policy
- For concurrent (piggyback transactions), title policy from the 1st lien transaction can be utilized, must include title insurance/CPL/wire instructions
- All borrowers must be on title at time of application and Note Date
- Changes in vesting not permitted during application process.
- Not applicable to inheritance, change of marital status, or for removing a borrower who is deceased

3.2 GEOGRAPHY

- Forty nine (49) U.S. states including the District of Columbia (DC) are eligible for purchase by Onslow Bay
 - Texas not permitted
- Loans originated in the State of Tennessee must meet the state's Maximum Effective Rate of Interest on Home Loans
 - <https://www.tn.gov/tdfi/tdfi-how-do-i/info/mortgage-rate-of-interest.html>
- The following US commonwealth and territories are not eligible for purchase by Onslow Bay
 - Puerto Rico, Guam, American Samoa, Northern Marina Islands and the U.S. Virgin Islands

3.3 UNDERWRITING / INCOME / LIABILITIES / ASSETS

- Document employment, income, assets and liabilities per Fannie Mae Seller Guidelines or Freddie Mac Guidelines
 - Verbal Verification of Employment (VVOE) must be obtained within ten (10) business days prior to the Note Date and within one hundred twenty (120) calendar days prior to the Note Date for self-employment income
 - Post closing VVOE will not be accepted
- Transaction can be a stand-alone second mortgage or be concurrent with a 1st mortgage loan
 - For piggyback 2nd lien, utilize the same income, assets and liabilities (same underwriting methodology) as the 1st lien

3.4 CREDIT REPORT

- To determine the Representative Credit Score, select the middle score when three (3) agency scores are provided and the lower score when only two (2) agency scores are provided
- Representative Credit Score of the Primary Wage Earner is used to qualify. In cases where borrowers earn the same amount, use the lower of the representative credit score to qualify
- Primary Wage Earner must have a valid score from at least two (2) of the following three (3) agencies: Experian, Trans Union and Equifax

3.5 TRADELINES

- Document per Fannie Mae Seller Guidelines or Freddie Mac Seller Guidelines

3.6 DEROGATORY HOUSING HISTORY

- **Minimum Derogatory Housing Event seasoning period of four (4) years**
 - Derogatory Housing Events:
 - Onslow Bay defines Housing Events as Foreclosures, Short Sale, Deed in Lieu, Default Modification, Notice of Default, Lis Pendens or 120+ Days Delinquent
 - Bankruptcies are considered Housing Events, inclusive of Chapter 7, 11, and 13
 - Defaulted 1st and 2nd mortgages on same property are considered one (1) event
 - Events include all occupancy types (Primary, Second Home, and Investment Properties)
 - Seasoning lookback is from the date of discharge / dismissal or property resolution (completion date), as of the note date
 - Default Modification look back commences at inception (when loan was permanently modified)

- Extenuating circumstance seasoning is not permitted
- Borrowers with multiple Derogatory Housing Events within the last seven (7) years are not eligible
- Housing History (0x30x12)
- Twelve (12) month mortgage / housing history includes all occupancy types: Primary, Second Home and Investment Properties

3.7 MINIMUM LOAN AMOUNT (CLOSED END 2ND LIEN)

- \$50k Minimum Loan Amount

3.8 MAXIMUM LOAN AMOUNT (CLOSED END 2ND LIEN)

- \$500k Maximum Loan Amount

3.9 MAXIMUM COMBINED LOAN AMOUNT (1ST & 2ND LIEN)

- \$2.5mm Maximum Loan Amount (1st & 2nd Lien combined)

3.10 SUBJECT PROPERTY FINANCING RESTRICTIONS

- Max two (2) consumer lending products on a single property inclusive of subject second lien
- 1st Lien cannot be a HELOC
- New subject lien may pay off existing junior lien on property

3.11 1ST MORTGAGE REQUIREMENTS / DOCUMENTATION

- \$2.5mm Maximum Loan Amount (1st & 2nd Lien combined)
- Must document 1st mortgage with a copy of 1st mortgage note or billing statement
- Ineligible 1st Mortgage Products & Terms
 - Loans with a Negative Amortization feature
 - Outstanding term >30 years
 - Loans in active forbearance or deferment
 - Reverse Mortgages
 - Private 1st liens
 - Balloon loans with a maturity date before the maturity date of the 2nd subject lien
 - First Lien HELOC
 - Land Contracts
 - Cross Collateralized loans

3.12 CONCURRENT REQUIREMENTS ("PIGGYBACKS")

- Approval letter / final approval from 1st mortgage showing all conditions have been satisfied
- Documentation requirements from 1st mortgage investor
- Final Closing Disclosure from 1st mortgage transaction
- Use of Appraisal from the 1st lien is acceptable
- Title policy from 1st lien transaction can be used and must include title insurance/CPL/wire instructions

- HOA statement, HOI, flood insurance from the 1st lien transaction (if applicable)

3.13 CASH OUT AMOUNT (CLOSED END 2ND LIEN)

- Unlimited

3.14 MORTGAGE INSURANCE

- Not required

3.15 HOMEOWNERS INSURANCE

- Existing coverage amount must be equal to the lesser of the following:
 - 100% of the insurable value of the improvements, as established by insurer
 - Unpaid principal balance ("UPB") of all existing liens including the subject 2nd lien

3.16 CASH OUT CLTV

- Use the lesser of the appraised value and the purchase price for properties owned less than 12 months
- Properties that have been on the market within six months of the application date are ineligible

3.17 DEBT TO INCOME ("DTI")

- Max DTI permitted
 - 50% max DTI for Primary Residence
 - 45% max DTI for 2nd Homes / Investor
- DTI should be recalculated based on any new debt
- If 1st lien is an Interest Only loan, fully amortizing payment will be used to qualify
- If the underlying 1st lien is an Adjustable Rate Mortgage ("ARM"), the higher of the fully indexed rate or note rate should be used to qualify

3.18 RESERVES

- No reserves required

3.19 NON-OCCUPANT CO-BORROWER

- Non-Occupant Co-Borrowers are credit applicants that do not occupy the subject property
- Not Eligible if a Non-Occupant Co-Borrower is on either the 1st or 2nd lien

3.20 ELIGIBLE BORROWERS

- Eligibility per Fannie Mae Seller Guidelines or Freddie Mac Seller Guidelines

3.21 INELIGIBLE BORROWERS

- Onslow Bay will not purchase loans that have been made to any of the following Borrower types:
 - Foreign Nationals
 - ITINs

- Irrevocable or Blind Trusts
- Land Trusts
- Borrowers with diplomatic immunity
- Asylum applicants
- Self-employed Borrower deriving their income from any Cannabis related business
- Borrowers(s) with residence of any country not permitted to conduct business with U.S. Companies as determined by U.S. government authority
- Non-Occupant Co-Borrowers

3.22 INELIGIBLE TRANSACTIONS (1ST LIEN)

- Construction Loans
- Temporary Buydowns
- Builder Bailout & Model leasebacks
- Conversion Loans
- Rent Credits
- Non-Arm's Length
- Lease Option
- Subject Loan being used as Bridge financing
- Cross Collateralized
- Renovation Loans

3.23 ELIGIBLE PROPERTIES

- Eligibility per Fannie Mae Seller Guidelines or Freddie Mac Seller Guidelines

3.24 INELIGIBLE PROPERTIES

- Manufactured Homes
- Log Homes
- Condotels
- Cooperatives
- Non-Warrantable Condos
- Properties listed for sale within the last 6 (six) months
- Properties with >20 acres
- Condominium projects with registration services or restrictions on owner's ability to occupy
- Unique Properties
- Unpermitted Additions
- Mixed Use Properties
- Builder Model Leaseback
- Boarding Houses / Group Homes
- Fractional Ownership / Timeshares

- Assisted Living/Continuing Care Facilities
- Mandatory Country Club Memberships
- Zoning Violations
- Properties under Construction
- Working Farms
- C5 or C6 Property Condition Grades
- Live / Work Condos
- Geodesic Domes
- Houseboats
- Homes on Native American Land (Reservations)
- Properties used for the cultivation, distribution, manufacture, or sale of Marijuana
- Theme Park Resort Properties
- Rural properties not permitted
- Rural will be defined per the underlying appraisal / valuation product

3.25 VALUATION

- **>=\$250,000 Loan Balance**
 - One (1) Full Appraisal required
 - Loans with HPML designation require a Full Appraisal (See Section 4.3)
- **<\$250,000 Loan Balance**
 - Full Appraisal, Exterior Appraisal (2055) or AVM
 - Loans with HPML designation require a Full Appraisal (See Section 4.3)
 - An AVM will be permitted with the following conditions
 - Must be submitted with a property condition report detailing exterior photos. Property condition report to show the underlying property to be in adequate condition
 - AVM must be dated within 60 days of the Note Date
 - AVM must have an acceptable confidence score
 - AVM must be provided by an Onslow Bay approved provider

Approved AVM Vendors	Minimum Confidence Score
Clear Capital	>=.80
Collateral Analytics	>=.82
House Canary	>=.80
Red Bell Real Estate, LLC	>=.80
Veros	>=.80

- Appraisal Requirements
 - Appraisal must comply with and conform to USPAP and the Appraisal Independence Requirements
 - The appraiser must not have a direct or indirect interest, financial or otherwise, in the property or in the transaction
 - An appraisal prepared by an individual who was selected or engaged by a Borrower, property seller, real estate agent or other interested party is not acceptable

- Assigned appraisals are acceptable, unless ordered by Borrower
- Appraisals are good for one hundred twenty (120) days. Any appraisal seasoned greater than one hundred twenty (120) days will require a recertification of value completed by the original licensed appraiser. A recertification of value will be permitted up to one hundred eight (180) days
- Legal non-conforming zoned properties must indicate that the subject property can be rebuilt if it is severely damaged or destroyed
- Appraisals with condition or quality ratings of C5 or C6 will not be eligible for purchase by Onslow Bay
- Form 1007 Schedule of Rents is required for all Non-Owner-Occupied loans on Single Family residences
- For concurrent (piggyback) transactions, utilization of the Appraisal from the 1st lien is acceptable

3.26 THIRD PARTY VALUATION REVIEW

- Second liens do not require a secondary valuation product. If a secondary valuation is delivered with the loan file and it comes back outside of tolerance, the seller will need to follow the appraisal valuation waterfall as shown below:
 - Loan file contains a CU score or LCA > 2.5, seller will need to provide either an AVM or desk review
 - Loan file contains an AVM with a >10% variance of the appraised value, the seller will need to deliver a desk review
 - Loan file contains a Desk review >10 % variance of the appraised value, the seller will need to provide a field review
- If none of the secondary valuations support the primary valuation, this will result in a failed valuation
- If there are any other value variations, additional documentation may be required

3.27 FEMA DISASTER AREAS

- Sellers are responsible for identifying areas impacted by disasters and ensuring that that subject property has not been adversely impacted
- A list of federally declared disaster areas may be found on the FEMA website at <http://www.fema.gov/disasters>
- In addition, when there is knowledge of an adverse event occurring near or around the subject property, including but not limited to earthquakes, floods, tornadoes, or wildfires, additional due diligence is required to determine when the disaster area guidelines must be followed
- Guidelines for disaster areas should be followed ninety (90) days from the incident period, unless a completed appraisal dated post incident is provided

3.27.1 Appraisal Completed Prior to Disaster

- Interior and exterior inspection of the subject property is required
- Appraisal update or final inspection from the appraiser must be obtained
- Damage that impacts the safety or habitability of the property or damage in excess of \$2000 will not be purchased by Onslow Bay

3.27.2 Appraised After Disaster Incident

- Appraiser must comment on the adverse event and any effect on marketability or value
- Damage that impacts the safety or habitability of the property or damage in excess of \$2000 will not be purchased by Onslow Bay

3.27.3 Disaster Incident Occurs After Closing, Prior to Funding

- A Post Disaster Inspection (PDI) Report from Clear Capital or Damage Assessment Report (DAR) from Pro Teck will need to be provided to Onslow Bay
- Any indication of damage reflected on the report will require a re-inspection by the appraiser
- Damage that impacts the safety or habitability of the property or damage in excess of \$2000 will not be purchased by Onslow Bay

3.27.4 Verbal Verification of Employment

- Seller must obtain a new Verbal Verification of Employment (VVOE) if the disaster event occurs after the original VVOE was completed
- Borrower should still be employed at the same employer listed on the initial 1003 and continuing to receive the same amount of income

4 ADDITIONAL GUIDELINE REQUIREMENTS

4.1 ABILITY TO REPAY

- All Covered Loans must be designated as ATR compliant and must adhere to the standards set forth in the CFPB's Reg Z, Section 1026.43(c)

4.2 HIGH COST

- Agency, Federal, State, and Local High-Cost Loans are not permitted

4.3 HIGHER-PRICED MORTGAGE LOAN ("HPML")

- HPML defined as secondary / subordinate financing with an APR 3.50% $\geq$ APOR
- HPMLs are permitted with the following requirements
 - Loan complies with HPML appraisal rules in Reg. Z
 - Loan must have Full Appraisal
 - Second Appraisal required under the following circumstances
 - Greater than 10% increase in sales price if the seller acquired the property in the past 90 days
 - Greater than 20% increase in sales price if the seller acquired the property in the past 91-180 days

4.4 FRAUD

- Onslow Bay has a zero-tolerance policy as it relates to fraud. A fraud prevention pull is required from Data Verify, Core Logic, SAS or a similar engine

4.5 MAX FINANCED PROPERTIES

- Twenty (20)

4.6 PREPAYMENT PENALTIES

- Prepayment penalties will not be permitted under Onslow Bay's Closed End Second Lien Program

4.7 ESCROWS

- Not required

4.8 ESCROW HOLDBACKS

- Escrow holdbacks are not permitted

4.9 SOLAR LEASES

- PACE loans (or any similar loans with payments that are included in property taxes or take lien priority) are not eligible

4.10 MERS

- The loan must be properly registered on the MERS® System prior to purchase

4.11 UNIFORM RESIDENTIAL LOAN APPLICATION (URLA)

- All loan applications taken on or after March 1, 2021 (mandatory usage date) must be submitted using the revised URLA

4.12 E-SIGNATURES

- E-signatures are permitted with the exception of the following documents: Note, Mortgage, Deed of Trust, Closing Disclosure, Power of Attorney, Riders / Addendums, and any state regulated disclosures. These documents require a wet signature

5 ONSLOW BAY CLOSED END SECOND (2ND) MATRIX

Occupancy	Loan Size	Minimum FICO	Max CLTV
Owner Occupied	\$50k-\$250k	740	85
		700	80
	\$50k-\$500k	680	75

Occupancy	Loan Size	Minimum FICO	Max CLTV
2 nd Home	\$50K-\$500K	740	80
		680	75

Occupancy	Loan Size	Minimum FICO	Max CLTV
Investor	\$50K-\$500K	740	75
		700	70

General Requirements	
Product Type	10 Year Fixed, 15 Year Fixed, 20 Year Fixed, 30 Year
Loan Amount	\$50k Min, \$500k Max
Occupancy	Primary Residence, 2nd Home, Investment
Max LTV / Min FICO	85%/680
Max DTI	Max of 50% (Primary), 45% (2 nd /Investor) or Fannie Mae/Freddie Mac Guide
Payment History	0x30x12
Housing Event Seasoning	4+ Years

Interest Only	Not Eligible
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Borrower Eligibility		Property Type	
Power of Attorney	Not Eligible	2–4 Units	Max 65% CLTV
Non-Occupant Co-Borrower	Not Eligible	Warrantable Condos	Max 80% CLTV
Permanent Resident Alien	Per Fannie Mae Guide or Freddie Mac Guide	Non-Warrantable Condos / Cooperatives	Not Eligible
Non-Permanent Resident Alien	Primary Residence Only	Rural Properties	Not Eligible
		Declining Markets	10% LTV Reduction

Cash Out Requirements	
Eligibility	Unlimited Cash-Out

BUSINESS PURPOSE & OCCUPANCY AFFIDAVIT

Loan Number:

Borrower(s):

Property Address:

I, the undersigned borrower(s), hereby declare that the following is true and correct:

1. I have applied for this Loan and am seeking financing for the Property for business purposes only. I do not intend to use the proceeds of the Loan for personal, family, or household purposes.
2. The proceeds of the loan will be used to purchase, improve, or maintain the Property, and I intend to operate the Property as one or more rental units for profit. If I have not executed a lease with a tenant (or tenants) at or before closing of the Loan, I intend to, and will, use commercially reasonable methods and effort to obtain a tenant (or tenants) for the Property following closing of the Loan.
3. Neither I nor any family member intend or expect to occupy the Property at any time. I will not, under any circumstances, occupy the Property at any time while the Loan remains outstanding. In addition, I will not claim the Property as my primary or secondary residence for any purposes for the duration of my Loan. I now reside, and for the duration of my Loan will continue to reside, elsewhere.
4. I understand that Lender originating the Loan in reliance upon this Affidavit. If this Affidavit is not true and correct, and in consideration of Lender making the Loan, I agree to indemnify Lender and its agents, affiliates, subsidiaries, parent companies, successors and assigns and hold them harmless from and against any and all loss, damage, liability or expense, including costs and reasonable attorneys' fees, which they may incur as a result of or in connection with my misrepresentation. I further understand that any misrepresentation in this Affidavit will constitute an Event of Default under my Loan Documents and may result in the immediate acceleration of my debt and the institution of foreclosure proceedings, eviction, and any other remedies allowable by law.
5. I understand that the agreements and covenants contained herein shall survive the closing of the Loan.
6. I understand that, based on the contents of this Affidavit, the Loan is a business-purpose loan secured by non-owner-occupied real property. I understand that this means that the Loan may not be subject to the requirements of certain federal and state consumer protection, mortgage lending, or other laws, including but not limited to the provisions of the federal Truth-in-Lending Act (15 U.S.C. §§ 1901 *et seq.*) and its implementing Regulation Z (12 C.F.R. Part 1026), and that my ability to avail myself of protections offered under federal and state laws for consumer-purpose residential mortgage loans may be limited.

I understand that any false statements, misrepresentations, or material omissions I make in this Affidavit may result in civil and criminal penalties.

Initial(s):

_____ The Property is not and will not be occupied by me or any member of the LLC or any family member.

Borrower(s) / Borrowing Entity Members:

NOTARY PUBLIC

_____ Date: _____

_____ Date: _____

CONDOMINIUM PROJECT QUESTIONNAIRE

Project Name	Year Project Built
Name of Homeowners Association (HOA)	Total Number of Units
Project Address (not subject Condo)	Total Number of Phases
Is project 100% complete including all units, common elements, and amenities, and not subject to additional Phasing?	
If no, please provide an explanation	

PROJECT INFORMATION

Total number of units sold and conveyed to unit purchasers	
Total number of units retained by developer	
Total number of units sold by developer	
Total number of units currently for sale (including units owned by developer/builder and unit owners)	
Total number of units Owner Occupied	
Total number of units Second Home	
Total number of units that are Investment Property (rented or leased), including units owner by builder/developer	
Is project a condominium hotel or motel?	
Is project a timeshare or segmented ownership project?	
Is project a houseboat project?	
Is project a multi dwelling unit condominium (in which multiple units are evidenced by a single deed and mortgage)?	
Is the project an Investment Security?	
Is the project a common interest apartment or community apartment project?	
Is project a Cooperative?	
Is the project a Planned Unit Development (PUD)?	
Is the project a manufactured Housing project?	
If yes, does the project only consist of single width manufactured housing units?	
Is the HOA named as a party to any pending litigation?	
If yes, please provide a letter from the HOA on their letterhead disclosing the nature and status of the litigation. Please take note that a letter from the attorney representing the HOA may be required if further clarification is needed.	
Is the developer named as a party to pending litigation involving this project?	
If yes, please provide a letter from developer's attorney disclosing the nature and status of litigation	
Is any part of the project used for non-residential (Commercial) purposes?	
If yes, what percentage of square footage is used for non-residential purposes?	
If yes, what is the non-residential space used for?	
Does any single entity (individual, partnership, investor group, Corporation, etc.) own more than 10% of the total units in the project?	
Have at least 90% of the total units in the project been conveyed to unit purchasers?	
Has control of the HOA been turned over to the unit purchasers?	
If yes, provide date transfer occurred.	
Are there any monthly assessments delinquent by more than 30 days?	
If yes, please provide the number of units that are delinquent, and the total dollar amount outstanding.	
What are the monthly HOA fees for the project? If amounts vary, provide range.	

Does the HOA budget provide adequate funding for the proper management and operation of the project?

If no, please provide detail

Does the HOA budget provide funding for replacement reserves of at least 10% of the budget for capital expenditures and deferred maintenance?

What amount is currently held in reserve for future repair and/or replacement of major components of the project?

What was the HOA reserve account balance as of the end of the most recent quarter?

Does the HOA budget provide adequate funding for insurance deductible amounts?

Is hazard insurance in place to cover 100% of the insurable replacement cost of the project improvements including individual units

Is liability insurance in place providing at least One Million Dollars (\$1,000,000) of coverage for bodily injury and property damage per occurrence?

Is flood insurance (if required) in place providing coverage of at least equal to the lesser of 100% of the insurable value of the facilities or the maximum coverage available under NFIP?

Is fidelity insurance in place covering the maximum amount of funds that will be in custody of the HOA or Management Company at any time (required if project is 20 or more units)?

Does the project have attached units?

Is the project managed by a hotel or motel, even though the units are individually owned?

Does the project restrict owners to occupy their units?

Does the project have mandatory rental pooling agreements that require the unit owners to either rent their units or give a management firm control over the occupancy of the units?

Does the project include registration services and offer rentals daily?

Does the project have any non-incidental business operation owned or operated by the HOA?

Is the project a hotel or motel conversion

Are the units in the project owned in either fee simple or leasehold title

Does the HOA require automatic, non-severable membership for each individual unit owner, and provide for mandatory dues/assessments?

Are all of the facilities related to the project owned by the unit owners or the HOA?

Has the developer retained any ownership interest in any of the facilities related to the project?

Are the amenities and facilities including parking and recreational facilities, subject to a lease between the unit owners and the HOA or any other party?

Does the project contain one or more units with less than 400 square feet?

Do the units have separate metering?

If no, is it common and customary in the local market where the project is located?

If no, does the project budget include adequate funding for utility payments?

Do the units owners in the project have sole ownership interest in, and rights to use of the project's facilities, common elements and limited common elements?

Is the project managed by an independent management company?

If yes, what is the name of the company?

If yes, are the contract terms between the HOA and the Management Company reasonable and equitable?

If the project is managed by an independent professional management company, does the contract between the HOA and management company have a termination provision that requires a penalty payment or advance notice of termination of more than 90 days?

Is the project located on one contiguous parcel of land (aside from being divided by a public street if applicable)?

Are the structures within the project within reasonable distance from each other?

Are the common areas and facilities consistent with the nature of the project and competitive in the marketplace?

Are there any circumstances or conditions that would adversely affect the value, condition or marketability of units contained within the project?

If yes, please explain

Building Safety, Soundness, Structural Integrity, and Habitability

1. When was the last building inspection by a licensed architect, licensed engineer, or any other building inspector?

2. Did the last inspection have any findings related to the safety, soundness, structural integrity, or habitability of the project's building(s)?

☐

Yes

☐

No

2a If **Yes**, have recommended repairs/replacements been completed?

☐

Yes

☐

No

If the repairs/replacements have not been completed:

2b What repairs/replacements remain to be completed?

2c When will the repairs/replacements be completed?

Provide a copy of the inspection and HOA or cooperative board meeting minutes to document findings and action plan.

3. Is the HOA/Cooperative Corporation aware of any deficiencies related to the safety, soundness, structural integrity, or habitability of the project's building(s)?

☐

Yes

☐

No

3a If **Yes**, what are the deficiencies?

3b Of these deficiencies, what repairs/replacements remain to be completed?

3c Of these deficiencies, when will the repairs/replacements be completed?

4. Are there any outstanding violations of jurisdictional requirements (zoning ordinances, codes, etc.) related to the safety, soundness, structural integrity, or habitability of the project's building(s)?

☐

Yes

☐

No

*If **Yes**, provide notice from the applicable jurisdictional entity.*

5. Is it anticipated the project will, in the future, have such violation(s)?

☐

Yes

☐

No

*If **Yes**, provide details of the applicable jurisdiction's requirement and the project's plan to remediate the violation.*

6. Does the project have a funding plan for its deferred maintenance components/items to be repaired or replaced?

☐

Yes

☐

No

7. Does the project have a schedule for the deferred maintenance components/items to be repaired or replaced?

☐

Yes

☐

No

*If **Yes**, provide the schedule.*

8. Has the HOA/Cooperative Corporation had a reserve study completed on the project within the past 3 years?

☐

Yes

☐

No

9. What is the total of the current reserve account balance(s)?

\$

10. Are there any current special assessments unit owners/cooperative shareholders are obligated to pay? If Yes :	☐	Yes	☐	No
--	--------------------------	-----	--------------------------	----

10a What is the total amount of the special assessment(s)?	\$
--	----

10b What are the terms of the special assessment(s)?
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10c What is the purpose of the special assessment(s)?

11. Are there any planned special assessments that unit owners/cooperative shareholders will be obligated to pay? If Yes :	☐	Yes	☐	No
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11a What is the total amount of the special assessment(s)?	\$
--	----

11b What are the terms of the special assessment(s)?
--

11c What is the purpose of the special assessment(s)?

12. Has the HOA obtained any loans to finance improvements or deferred maintenance?	☐	Yes	☐	No
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12a Amount borrowed?	\$
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12b Terms of repayment?

Additional Comments:

This questionnaire must be completed, signed, and dated by the HOA representative.

I the undersigned certify that to the best of my knowledge and belief the information and statements contained on this form are true and correct.

HOA Name:

HOA Taxpayer ID:

Date:

HOA Representative:
(sign and print)

Signature

Print

HOA Representative Telephone:

HOA Representative Email:

Management Company:

BORROWER CONTACT CONSENT FORM

To ensure we have the correct contact information for servicing your loan, please provide the following information.

By signing, I authorize my mortgage servicer, its transfers and/or assigns, to contact me regarding the servicing of my loan using the following contact information.

Mailing address for your mortgage statements and other correspondence:

Same as the subject property.

Please use this mailing address instead:

Address Line 1:		Apt. #:	
Address Line 2:			
City:		State	Zip Code:
Country:			

Cell Phone Number:

I understand that by providing a cell phone number and by signing this form, I am giving the holder of my mortgage Note and its billing servicer permission to use the cell phone number to contact me regarding my loan.

	<i>Within the United States</i>	<i>If you reside outside the United States</i>
Borrower:	() -	() -
Co-Borrower:	() -	() -
	(Area Code) Phone Number	(Country Code) Phone Number

Email Address:

I understand that by providing an email address, I am giving the holder of my mortgage Note and its billing servicer permission to use this email to contact me regarding my loan.

Borrower:	
Co-Borrower:	

Signature(s):

Borrower:	
Co-Borrower:	